Economics

DBS Focus

India's Budget plays the long game

Economics/Growth

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- *The FY27 Budget aligned fiscal discipline with strategic priorities.*
- *We assess the Budget through four key questions.*
- *Was the FY26 deficit target met? Yes, non-tax revenues and spending rationalisation were important offsets for slower tax growth.*
- *What does the FY27 fiscal math rest on and what will be the market impact? Modest scale of consolidation rests on firm nominal growth and conservative revenue assumptions.*
- *What was the main push of the FY27 Budget measures? Emphasis is on infra, new economy as well as traditional sectors and services.*
- *Will the Budget materially alter the monetary policy path? RBI policy committee will pause on rates but support with other tools.*
- *Implications for markets: Bonds are unlikely to find relief from the borrowings number.*

The FY27 Budget aligned fiscal discipline with strategic priorities. Allocations have been increased for infrastructure, alongside measures to strengthen domestic capabilities across both key labour-intensive and emerging sectors. Banking sector development remains a priority to foster inclusive growth and is complemented by enhanced financing support for MSMEs. Service sector activity is expected to benefit from targeted interventions, including support for cloud services through data centres, promotion of medical value tourism, continuation of safe harbour provisions, and exemptions on global income for non-resident experts. **On the tax front**, constructive measures, particularly customs duty exemptions, are aimed at reducing production costs and boost competitiveness.

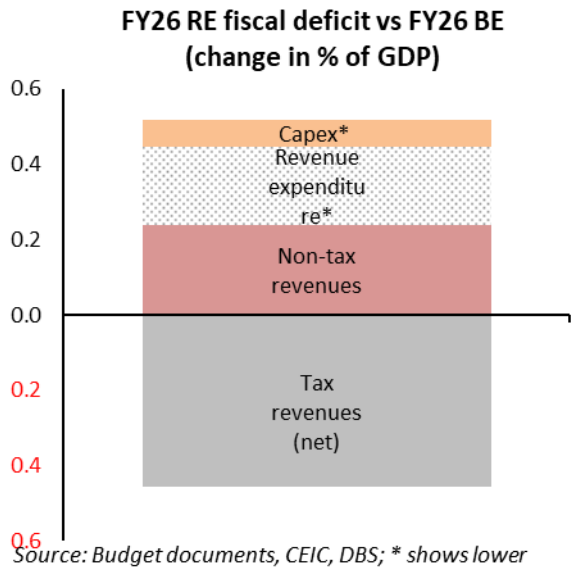
Overall, the Budget preserves macroeconomic stability and maintains continuity in policy. Fiscal consolidation will continue, with the centre's debt-to-GDP ratio projected to decline by around 0.5% and the fiscal deficit expected to narrow to 4.3% of GDP. The effective revenue and primary deficits stand to consolidate further.

We assess the Budget through four key questions.

Was the FY26 deficit target met?

Fiscal math for the outgoing year FY26 was largely along expectations, with the centre retaining its fiscal deficit target at -4.4% of GDP. Nominal GDP was along the first advance estimate at 8% and as we had discussed in our preview India's Budget to align with strategic objectives, this does not influence the deficit computation.

Tax revenue growth is on course to moderate to 7% yoy from 7.4% year before, along with gross tax revenues also easing in FY26 vs year before. Better non-tax receipts (+0.3% of GP) provided an important offset, helped by higher dividends from the central bank as well as public sector enterprises. An additional offset was also slower expenditure growth, with revenue expenditure easing by -0.2% of GDP (based on RE nominal GDP) and -0.07% in capex spending.

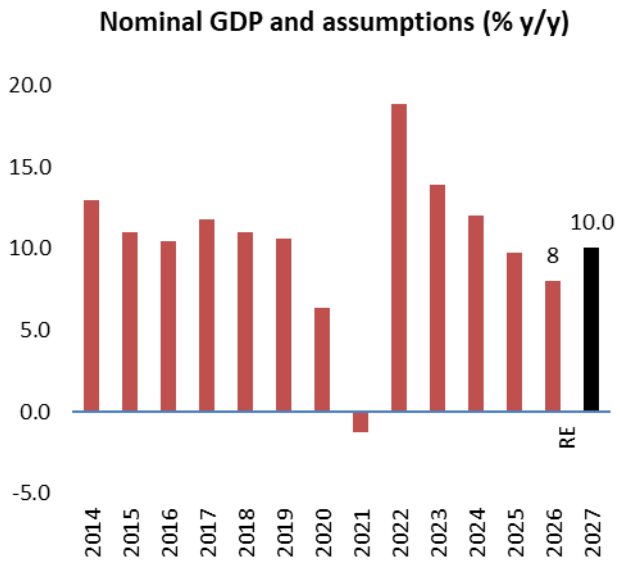


*Source: Budget documents, CEIC, DBS; * shows lower spending (savings)*

What does the FY27 fiscal math rest on and what will be the market impact?

The shift in the approach to consider the debt to GDP ratio as the main nominal anchor implies greater flexibility in fiscal management, particularly in times of global uncertainty and risk of exogenous shocks. Fiscal policy can thereafter undertake a more dynamic role in addressing evolving macroeconomic conditions. In this respect, the fiscal deficit outcome adopts the position of an secondary target, with few years likely to witness modest or no further consolidation at the headline level.

At the onset, the FY27 fiscal math appears realistic and reasonable. Nominal GDP growth was projected at 10% yoy, along our forecast (See chart), building in firmer GDP deflators.

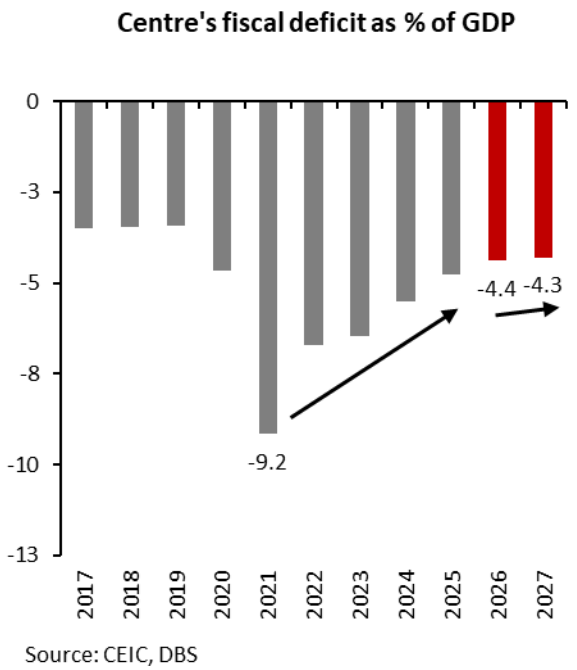


Source: Budget documents, DBS

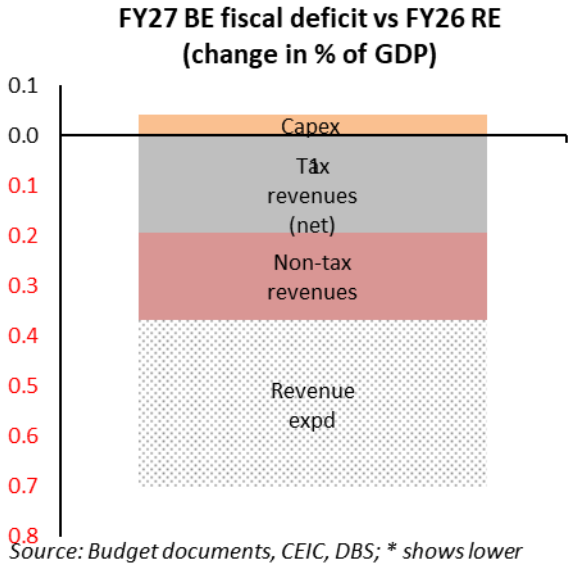
Moving to the debt-targeting framework, the centre reiterated its plans to reach a target of debt-to-GDP ratio of 50±1% by 2030. The debt-to-GDP ratio is estimated to be 55.6% of GDP in FY27, compared to 56.1% 2025-26 (RE). Our

read is that the pace of reduction is not aggressive, keeping in mind the need to spur growth.

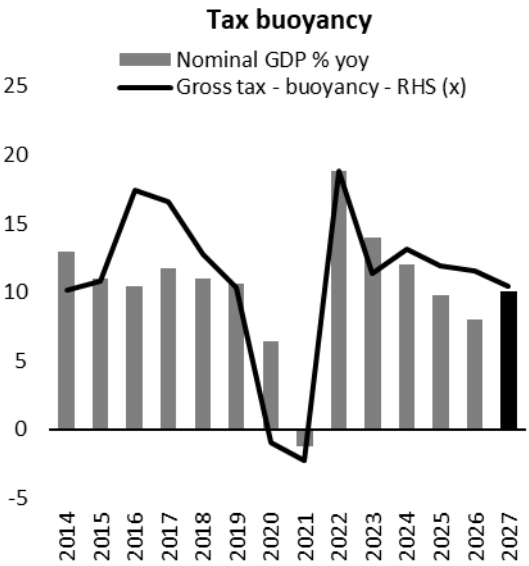
The accompanying fiscal deficit target is estimated at -4.3% of GDP, along our projection, which implies a narrower 0.1% consolidation in the year ahead. How does one arrive at that math? The breakdown of ratios show that the allocation towards capex is expected to increase marginally, while all other ratios have been assumed at conservative levels (see chart).



The underlying revenue math assumes tepid tax buoyancy compared to post-pandemic years, following the slower pace of increase in gross tax revenues owing to direct and indirect tax relief in the past year. While on nominal basis, gross taxes are likely to increase to INR 44trn in FY27 vs INR 40.7trn in FY26, on % of GDP basis, ratios stand to ease to 11.2% of GDP in FY27 (BE) vs revised 11.4% in FY26 (RE), reflecting softer increase in direct taxes (4.3% vs FY26's 4.6%), while indirect is expected to increase slightly to 6.9% from 6.8% in FY26.



*Source: Budget documents, CEIC, DBS; * shows lower spending (savings)*

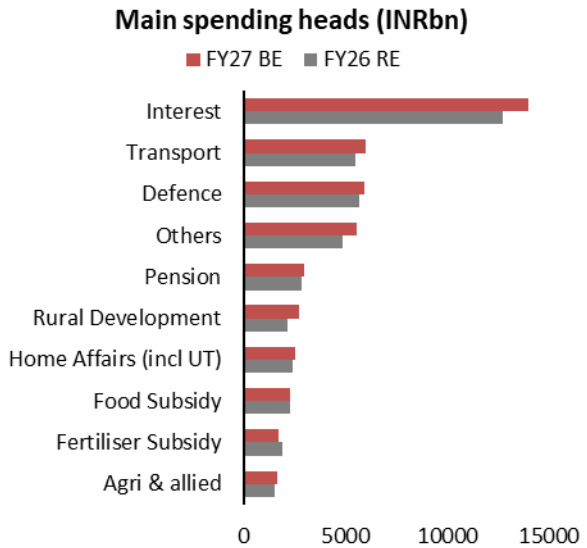


Source: CEIC, DBS

On the taxation front, there were no changes in direct taxes, with much of it front running the budget presentation. Besides an increase in the securities transaction tax on futures, there were few changes in the custom duties of selected products to lower production costs, besides some relief on Tax collection at source (TCS), which we discuss in the next section.

Non-tax revenues are expected to stay buoyant, underpinned by RBI dividends. Total dividends from the central bank and PSUs is expected to rise from INR 3.8trn in FY26 RE to INR 3.9trn in FY27. **More importantly, disinvestment target has been sharply raised** to INR 800bn (0.8% of GDP), after successive years of undershoot and vs INR 338bn (0.3%) in FY26. This signals optimism on expediting share sales, with the Economic Survey also highlighting the need to provide more flexibility to jumpstart this agenda. Likely assets in pipeline include IDBI Bank, Shipping Corporation of India and LIC, amongst other.

On the expenditure end, the scale of nominal capital expenditure has been pegged at a record high of INR 12.2trn (3.1% of GDP steady from year before), up 11% from the revised INR 10.95trn in FY26. **Including the grants in aid allocations, capex increases to 4.4% of GDP.** This reflects higher interest in defense spending (up 17% yoy), and transport - railways (10%), roads (10%) and transfer to states which is closer to a third higher than FY26RE. **Revenue expenditure** stands to rise from INR 38.7trn in FY26 (RE) to INR 41.2trn, though as % of GDP, the ratio is set to moderate in FY27, helping to consolidate finances. Amongst the major heads of spending include higher allocations towards defence, pension payments, agri and allied services, education, energy, rural development and transport infrastructure.



Source: Budget documents, DBS

Selected PLI allocations (INR bn)

Heads	FY25	FY26 RE	FY27 BE
PLI 0 MeiTY	57.6	70.0	15.3
PLI - Pharma	24.3	24.9	25.0
PLI - White Goods (Acs and LED lights)	2.1	3.0	10.0
PLI - Auto and auto components	3.3	20.9	59.4

Source: Budget documents, DBS

The Finance Commission Report recommendations were also tabled, which was accepted by the centre, which essentially retains the vertical share of tax devolution to states at 41% of total. States have meanwhile

FY26 Revised and FY27 Budget Fiscal math

	INR bn				*as % of GDP*		
	FY25 A	*FY26 BE*	*FY26 RE*	*FY27 BE*	*FY25*	*FY26 RE*	*FY27 BE*
Revenue receipts	30366	34204	33423	35332	9.2	9.4	9.0
Tax revenue (net)	25000	28374	26747	28669	7.6	7.5	7.3
Non-tax revenue	5365.8	5830	6677	6662	1.6	1.9	1.7
Non-debt capital rec	418	760	640.3	1184	0.1	0.2	0.3
Total expenditure	46529	50654	49648	53473	14.1	13.9	13.6
Revenue expenditure	36009	39443	38691	41255	10.9	10.8	10.5
Capital expenditure	10520	11211	10958	12218	3.2	3.1	3.1
Fiscal deficit	15744.48	15690	15585	16958			
% of GDP	*-4.8*	*-4.4*	*-4.4*	*-4.3*			
Nominal GDP	*9.8*	*10.1*	*8.0*	*10.0*			

Source: Budget documents, DBS

sought higher resources in light of the rising share of cess and surcharges (~a fifth of gross tax revenues), effectively narrowing the divisible revenue pool. Effective devolution averaged around 33.9% in FY25 and is estimated at 34.7% in FY27 math. An estimated INR 1.4trn has been set aside for the states under Finance Commission Grants.

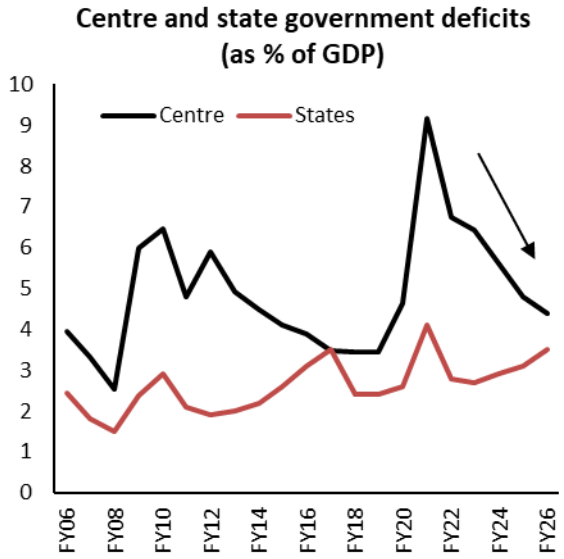
Total transfer of resources to states

Heads	FY25	FY26 RE	FY27 BE
Devolution of States' share in taxes	*12869*	*13930*	*15263*
I. Some Important Items of Transfer (NDRF, loan etc)	*2027*	*2301*	*2791*
II. Finance Commission Grants	*1209*	*1530*	*1294*
Transfers to States [Other than (I)+(II)]	*5551*	*4982*	*6090*
Transfers to UTs	*600*	*619*	*770*
Total	***22255***	***23361***	***26208***

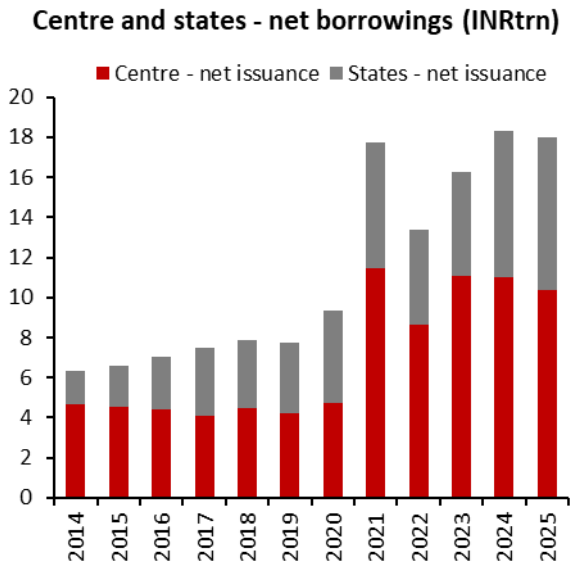
Source: Budget documents, DBS

Equally important to the central government's fiscal path is what also happens at the general government level (centre plus states). The combined deficit will have bigger implications for further (favourable or not) sovereign ratings actions and debt sustainability path. Compared to the centre, state finances are in a more challenging position, which is also reflected in the narrowing gap between the centre and state borrowings in recent years (see chart).

While the centre has effectively halved its fiscal deficit compared to FY21, state deficits have stagnated or increased. The pay commission recommendations will also come into effect in FY28, increasing the share of stickier spending commitments. Together with the centre's developments, increasing focus will be on the direction of state finances, to meaningfully bring the cumulative debt and deficit levels down.



Source: RBI, DBS

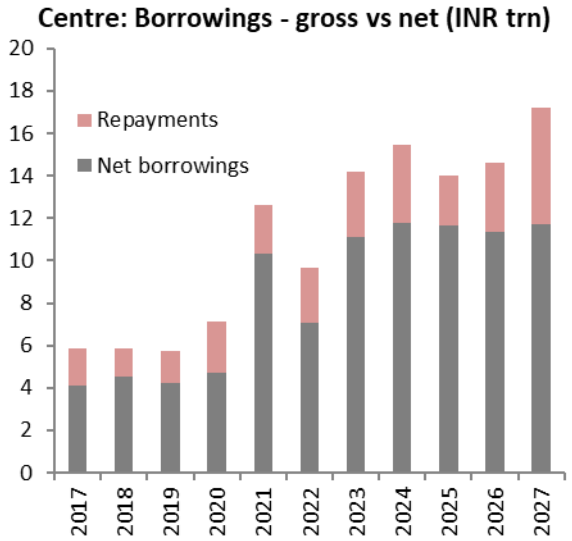


Source: CEIC, RBI, DBS

- **Market impact**

Bond markets are likely to eye the scale of gross borrowings with trepidation. The FY27 gross borrowing target was set at a record high of INR 17.2trn, compared to our forecast at INR 16.5trn and up from INR 15.5trn in FY26. As suspected part of this sharp increase in the gross size reflects higher redemptions. **After adjusting for these, net borrowings stand at INR 11.7trn, slightly higher than INR 11.3trn in**

FY26 (RE), building in repayments worth INR 5.5trn. The gross scale might be notionally lower if the authorities opt for more switches to push out part of FY27 maturities for longer-out tenors, though this needs to be balanced with the prevailing tepid demand for duration papers. On the dated securities, the FY28 maturities amount to INR6trn, which might be lowered through switches in the coming year. **Notably part of the borrowings shifted to treasury bills, which will stand at INR 1.3trn in FY27.** The target for small savings has been raised modestly to INT 3.9trn



Source: Budget documents, DBS

Market borrowings

INR trn	FY25 Actual	FY26 RE	FY27 BE	Remarks
Fiscal deficit	15.7	15.6	17.0	Stands at -4.3% of GDP
Market loans (net)	11.6	11.3	11.7	Increase in net is more measured
Net repayments	-2.4	-3.3	-5.5	Stands to rise in FY27, 28
Gross market borrowings	14.0	14.6	17.2	Higher end of market forecasts
Treasury Bills	-1.6	0.0	1.3	Back in the math
Debt GDP (as % of GDP) - stmt of liab	56.2	56.1	55.6	Gradual moderation

Source: Budget documents, CEIC, DBS

The budget carried little to boost the bond markets, with upwards pressure on yields bound to continue. The central bank has been amongst the bigger buyers of GSecs in the past year and this is likely to continue until the domestic players, led by banks make a comeback to better balance the supply-demand mix. Moreover, adding the states' needs, the general government borrowings is on course to rise to INR 30-31trn, a record high.

What was the main push of the FY27 Budget measures?

Measures signaled a play on the medium to long-run, by strengthening domestic capabilities in the face of a challenging global environment. Key changes included (full list is here):

- ***Boosting domestic manufacturing capabilities and service sector focus***

In a bid to boost the domestic manufacturing capabilities across traditional and new economy sectors, key changes will be made for: a) **Semiconductors & Electronics**, with allocation towards the electronics components manufacturing scheme raised to INR 400bn to deepen local value addition across electronics industries and launch of India Semiconductor Mission; b) **Biopharma**, with plans to build India into a global biopharma hub, backed by INR 100bn allocation over five years; c) **Textile**s; d) **Critical Inputs & Raw Materials**, with dedicated rare earth mineral corridors announced in multiple states (e.g., Odisha, Andhra, Tamil Nadu, Kerala) to boost domestic mining, processing and supply of critical minerals used in advanced manufacturing; e) **Chemical** Parks & Legacy Industry Revival; f) **MSMEs** push through financing support, additional equity through the Self-Reliant India Fund to scale small and medium enterprises, amongst others.

Measures also included customs duty rationalization and deferred duty payments for

trusted manufacturers, besides duty-free import provisions for sectors like seafood, footwear and textiles to make Indian exports more competitive.

Towards the service sector, key announcements included: a) tax holiday has introduced until 2047 for foreign cloud providers using Indian data centres (with conditions requiring service to domestic customers via Indian resellers); b) software, IT-enabled services, KPO and contract R&D grouped will be brought under a single IT services category for simpler taxation. At the same time safe harbour eligibility limits were raised significantly to boost compliance ease and reduce disputes for service providers; c) boost Orange Economy, which involves creative & digital services.

- ***Taxation***

The new Income-tax Act, 2025 will be effective from April 2026 (FY27). There was notable change in Tax-Collection at Source (TCS) & Deductions Changes, for instance, the rates on outward remittances will be reduced for specific purposes, including education and medical treatment. On the markets front, the transaction taxes (~INR 150bn/ year revenues estimated i.e. 0.03% of GDP) on equity derivatives were increased to curb speculative trading, which involved raising the STT on futures from 0.02% to 0.05% and options STT from 0.10 % to 0.15 % and other changes on tax on share buybacks. These changes triggered kneejerk weakness in the equity markets.

Will the Budget materially alter the monetary policy path, going forward?

With the government remaining on course its fiscal consolidation path, we don't expect any material impact on the direction of monetary policy. The RBI monetary policy committee will decide on rates on 6-February. The MPC lowered rates in December 2025, along our expectations, but is expected to refrain from cutting rates further in February. Growth impulse has been firm despite trade tensions, while inflation is off lows. The rupee has continued to be under pressure, depreciating to successive fresh lows. Deposit mobilisation has already been a challenge.

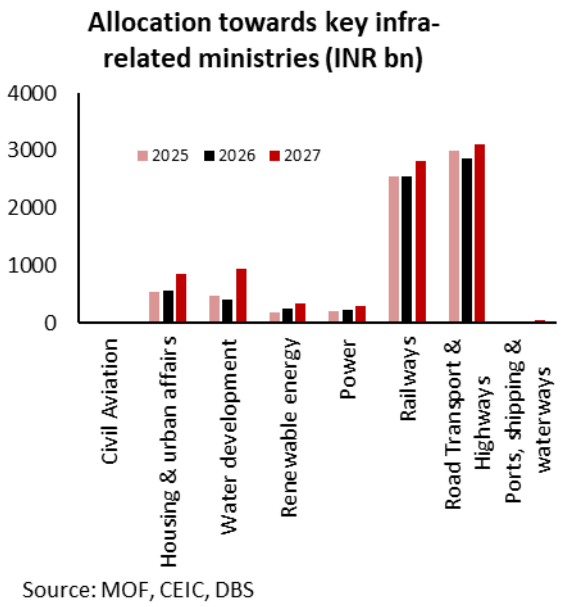
Moreover, lowering rates further could spur further repatriation of rate-sensitive portfolio flows. Against this backdrop, the RBI MPC is expected to vote for a pause, while the central bank undertakes direct measures to tackle liquidity, bond stability and currency-related risks. We expect bond purchases to continue this quarter and in Apr-Jun26. With the FY27 Budget outlining a record high of borrowings, the central bank might prefer to be agile and nimble its money market related operations and keep borrowing costs in check.

ANNEXURES

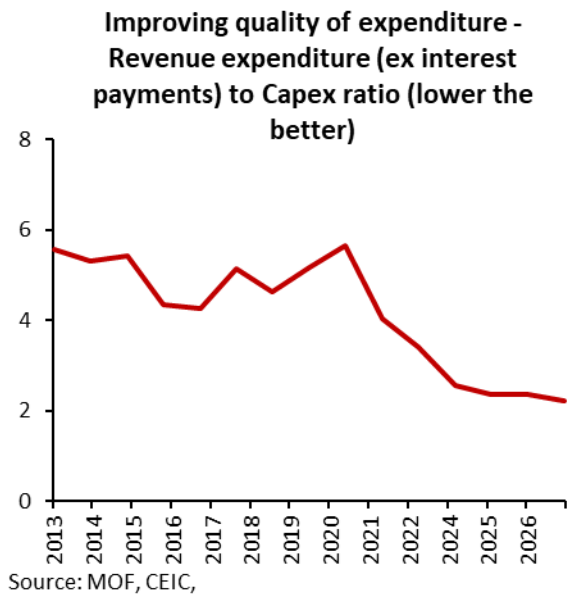
Revenues breakdown

	INRbn			% of GDP		
	FY25 Actual	FY26 RE	FY27 BE	FY25 Actual	FY26 RE	FY27 BE
Gross Tax Revenue	38.0	40.8	44.0	11.5	11.4	11.2
Corporation Tax	9.9	11.1	12.3	3.0	3.1	3.1
Taxes on Income	12.4	13.1	14.7	3.7	3.7	3.7
Customs	2.3	2.6	2.7	0.7	0.7	0.7
Union Excise Duties	3.0	3.4	3.9	0.9	0.9	1.0
GST	10.3	10.5	10.2	3.1	2.9	2.6
Others	0.0	0.1	0.2	0.0	0.0	0.0
Taxes of UTs	0.1	0.1	0.1	0.0	0.0	0.0
Less - NCCD transfers	0.1	0.1	0.1	0.0	0.0	0.0
Less State's share	12.9	13.9	15.3	3.9	3.9	3.9
Net tax revenue	50.9	54.8	59.4			
States share %	*-33.9*	*-34.2*	*-34.7*			
Interest receipts	0.4	0.4	0.4	0.1	0.1	0.1
Dividends & Profits	3.1	3.8	3.9	0.9	1.1	1.0
Others	1.9	2.5	2.3	0.6	0.7	0.6
Non-tax revenues	5.37	6.68	6.66	1.6	1.9	1.7
Non-debt receipts	0.4	0.6	1.2	0.1	0.2	0.3
Disinvestment	0.2	0.3	0.8	0.1	0.1	0.2
Debt receipts	15.7	15.1	16.6	4.8	4.2	4.2
Capital receipts	16.2	15.8	17.8	4.9	4.4	4.5

Source: Budget documents, DBS



Source: MOF, CEIC, DBS



Source: MOF, CEIC,

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